

the interest amount as an up-front discount to encourage you to purchase products. As per an RBI circular released in 2013, there is no provision to provide zero-cost EMI schemes. So what happens is that the interest rate is usually covered in the processing fees for the loan. By increasing the processing fees to almost 14-16%, the inherent amount is hidden in plain sight. Make sure you do the right calculations before opting for No Cost EMIs as banks are usually not very forgiving if you miss out payments with unsecured loans.

EMI in Online Shopping

As mentioned in the beginning, the success of online retailers cannot be traced back to their aggressive pricing strategies or rapid expansion of delivery networks alone. The various EMI schemes they offer on their products have contributed in a large manner as well. Flipkart and Amazon being the trendsetters, EMI options suddenly put a lot of high-end products in the hands of lower budget customers at a rapid pace. This was also amplified by their extensive branding building. People either trusted these sites or maybe planned to outsmart them by using EMI schemes in seemingly cunning ways.



Infographic explaining No-Cost EMI on Amazon.in

The main reason behind the runaway success of EMI schemes in India could be attuned to the reluctance Indian consumers showed towards the use of credit cards. And rightly so, as credit cards charged huge interest rates on outstanding balances if not paid off within the month. The various credit card default issues from the NRI communities didn't help their case either. In comparison, EMI schemes let them enjoy lower interest rates, gave them the ability to plan the monthly budget and above all sleep peacefully at night as these are much more risk-free. The online retailers saw this trend early on and understood that to sell more products, especially higher